

4 steps to picking your investments

Here's what to do after putting money in your investment account.

Fidelity Learn



Key takeaways

After opening an investment account and funding it, the next step is to pick your investments.

Investment choices include individual stocks and bonds, ETFs, and mutual funds. Each has different characteristics and levels of risk.

Choose investments based on your personal risk tolerance and how long you plan to invest before needing the money (your time horizon).

Review your investments regularly. As your life changes, so can your risk tolerance and goals.

Opening and funding an investment account is a great first step toward your financial goals. To get invested, make sure you choose and buy your investments—otherwise, your money may sit in cash or a default money market fund, potentially missing out on meaningful growth.

Follow these 4 steps to picking your investments and making sure they work for you over time.

1. Create a game plan

Investing works best with a plan. Begin creating yours by asking yourself 2 questions:

How much risk am I willing to take?

This is also called your risk tolerance, or how comfortable you are with the idea of losing money. Market ups and downs are normal, and all investing involves some risk. There's no right answer. Knowing both your willingness and ability to accept risk can make it easier to stick with your investing plan in order to hit your goals.

How long do I plan on staying invested?

This is known as your time horizon. Generally, the longer you invest, the more risk you may be willing to take on. That's because while historically the overall stock market has increased in value over time, it hasn't done so in a straight line. There may be times when it dips over the short or medium term, and the longer you're investing for, the more time you have to ride out any stumbles to the market's recovery.

Your time horizon and risk tolerance play a big role in what you choose. For example, let's say you're investing for a getaway trip you hope to take in 5 years. Because your time horizon is relatively short, you may not want to take on as much risk—there's less time for your investments to recover if the market drops.

2. Choose your investments

When you're just starting out as an investor, understanding your investment options is a key part of building a smart financial plan. This step is all about finding the right fit for you. Each type of investment offers something different.

With your time horizon and risk tolerance in mind, it's time to look at your [investment options](#). Here are some of the most common:

Stocks

[Stocks](#) represent a piece of ownership, or a share, in a public company. While investing in stocks can be very rewarding, offering the potential to help your money grow, they're also considered a riskier option. Stock prices go up and down all the time, depending on a number of factors, including company performance and the news. Before buying individual stocks, [do your research](#), and avoid putting all your eggs in one basket.

Stocks might be right for you if you're comfortable with risk and have time to ride out market ups and downs. For example, stocks can be a good fit for long-term goals like retirement—which might be 20 or 30 years away—giving you time to recover from short-term market ups and downs and benefit from potential long-term growth.

Bonds

[Investing in bonds](#) is like giving out loans to companies or governments that agree to pay you back with interest. [Bonds](#) are typically considered lower risk compared with stocks and are [assigned grades](#), so you can better understand the risk that the issuer will default, or fail to keep their promise to repay you.

Bonds might be right for you if you're looking for more stability in your portfolio or want to balance out the risk of stocks. They can be especially useful for shorter-term goals—like buying a home in 3 to 5 years—or if you're nearing retirement and prefer less market volatility.

ETFs

Buying an [exchange-traded fund](#) (ETF) means that you're investing in a group of securities, such as stocks or bonds, all at the same time. They're like bundles of investments, often built around an [investment theme](#)—such as a specific industry or a group of companies in a major market index. For example, some follow the [S&P 500® Index](#), which includes 500 of the largest US companies, or the [Nasdaq Composite Index](#), which features many tech-focused firms. Thanks to this [diversification](#), ETFs are often considered less risky than buying individual stocks.

ETFs might be right for you if you're looking for a simple way to diversify your investments and keep costs lower—since most are passively managed and trade efficiently, they typically have lower fees than active funds. Depending on the assets they hold, such as stocks or bonds, ETFs can support a range of financial goals. Stock-focused ETFs could be useful for long-term goals such as charitable giving in retirement. Investing in bond-focused ETFs can be a practical approach for saving toward major life expenses, such as a wedding.

Mutual funds

[Mutual funds](#) let many investors pool their money to buy a mix of investments like stocks or bonds. These funds are often actively managed, which means a team of professionals picks investments and tries to beat the market. In contrast, ETFs are usually passively managed—they aim to match the performance of a market index, not outperform it. One other key difference: Mutual funds trade only once a day after the market closes, while ETFs and stocks can be bought and sold throughout the day.

[Picking mutual funds](#) might be right for you if you prefer a more hands-off approach and want professionals to manage your investments. They can be a good fit for long-term goals like retirement or saving for a child's college education—especially if you're looking for built-in diversification and don't need to trade throughout the day.

By learning how these investment options work and thinking about your timeline and comfort with risk, you're not just picking an investment—you're building a strategy that supports your goals and helps protect your money over time.

3. Buy your investments

After deciding what to invest in, make sure to buy those investments. Even if you don't consider yourself a trader, you'll still need to [place a trade](#) to actually purchase the investment. Follow these steps to complete your order:

1. Select the account you want to trade in.
2. Enter the symbol of the stock, ETF, or mutual fund.
3. Select Buy.
4. Choose between transacting in dollars or number of shares, then enter an amount (for example, buy 5 shares of company XYZ).
5. For stocks and ETFs, choose an order type. The 2 [most common order types](#) are market and limit orders.
6. Select the time in force or how long you want the order to be in effect (1 day only or up to 180 days).

7. Preview and [Log in](#) your order.

Placing this order will use your cash (or the money in your default money market fund) to purchase the investment option. Once the trade is completed, you'll receive a confirmation, and the investment will appear in your account. From there, you can track its performance over time. Keep in mind that some trades may involve fees or commissions, depending on your [brokerage firm](#) and the type of investment.

4. Check in

As your life changes, your risk tolerance, time horizon, and goals probably will too. That's why it's important to check in on your investment plan regularly—at least once a year, or whenever a major life event occurs. During these check-ins, ask yourself: Have my goals changed? Is my time horizon shorter or longer? Am I still comfortable with the level of risk I'm taking?

You might find that it's time to [rebalance your portfolio](#)—adjusting how much you have in stocks, bonds, or other investments—to stay aligned with your updated goals. Even if you're investing on your own, you're not alone. Fidelity offers tools, resources, and support to help you review your plan and make informed decisions.

Ready to place a trade?

Choose an account. Then enter your order quickly and easily.

Place a trade 

More to explore

How to trade stocks and ETFs

Learn how to place a trade in a Fidelity® account.

 Article  2 min

 Save

The guide to diversification

Build a solid investment strategy to help realize your goals.

 Article  7 min

 Save

Subscribe to *Fidelity Smart Money*™

What the news means for your money, plus tips to help you spend, save, and invest.

All fields are required.

First name

Last name

Email address

Subscribe

Investing for beginners

Finding stock and sector ideas

Investing for income

Fixed income, bonds, CDs

ETFs

This information is intended to be educational and is not tailored to the investment needs of any specific investor.

Investing involves risk, including risk of loss.

Diversification and asset allocation do not ensure a profit or guarantee against loss.

Stock markets are volatile and can fluctuate significantly in response to company, industry, political, regulatory, market, or economic developments. Investing in stock involves risks, including the loss of principal.

Exchange-traded products (ETPs) are subject to market volatility and the risks of their underlying securities, which may include the risks associated with investing in smaller companies, foreign securities, commodities, and fixed income investments. Foreign securities are subject to interest rate, currency exchange rate, economic, and political risks, all of which are magnified in emerging markets. ETPs that target a small universe of securities, such as a specific region or market sector, are generally subject to greater market volatility, as well as to the specific risks associated with that sector, region, or other focus. ETPs that use derivatives, leverage, or complex investment strategies are subject to additional risks. The return of an index ETP is usually different from that of the index it tracks because of fees, expenses, and tracking error. An ETP may trade at a premium or discount to its net asset value (NAV) (or indicative value in the case of exchange-traded notes). The degree of liquidity can vary significantly from one ETP to another and losses may be magnified if no liquid market exists for the ETP's shares when attempting to sell them. Each ETP has a unique risk profile, detailed in its prospectus, offering circular, or similar material, which should be considered carefully when making investment decisions.

In general, the bond market is volatile, and fixed income securities carry interest rate risk. (As interest rates rise, bond prices usually fall, and vice versa. This effect is usually more pronounced for longer-term securities). Fixed income securities also carry inflation risk, liquidity risk, call risk and credit and default risks for both issuers and counterparties. Lower-quality fixed income securities involve greater risk of default or price changes due to potential changes in the credit quality of the issuer. Foreign investments involve greater risks than U.S. investments, and can decline significantly in response to adverse issuer, political, regulatory, market, and economic risks. Any fixed-income security sold or redeemed prior to maturity may be subject to loss.

The S&P 500® Index is a market capitalization-weighted index of 500 common stocks chosen for market size, liquidity, and industry group representation to represent US equity performance.

Nasdaq Composite Index is a market capitalization-weighted index that is designed to represent the performance of NASDAQ stocks.

Fidelity Brokerage Services LLC, Member NYSE, [SIPC](#), 900 Salem Street, Smithfield, RI 02917

1022705.4.0



[Careers](#) [News Releases](#) [About Fidelity](#) [International](#)

Copyright 1998-2026 FMR LLC. All Rights Reserved.

[Terms of Use](#) [Privacy](#) [Security](#) [Site Map](#) [Accessibility](#) [Contact Us](#)

[Share Your Screen](#) [Disclosures](#)

[Manage My Targeting/Advertising Cookies](#)

[This is for persons in the US only.](#)

Stay Connected

Locate an Investor Center by ZIP Code

Search

